

LETTER OF INTENT (PILOT DEPLOYMENT — TRANSACTION)

Effective Date: _____, 20____

RE: Pilot Deployment of the GRADIS Privacy-Preserving Aerial Incident-Sensing System

This letter of intent (the “Letter of Intent”) represents the basic terms for an agreement that shall be considered [] binding [X] non-binding. After this Letter of Intent has been made, another formal agreement may be constructed to the benefit of the Parties.

I. The Buyer: _____ (the “Buyer”) with a mailing address of _____, City of _____, Province of _____, Republic of the Philippines. *[e.g., Local Government Unit public-safety office, PNP unit, or licensed private security agency.]*

II. The Seller: GRADIS (the “Seller”), with a mailing address of _____, City of _____, Republic of Korea.

III. The Transaction: Buyer agrees to pay the Seller the amount of **Sixty Thousand US Dollars (USD 60,000)** (“Purchase Price”) in exchange for a **ninety (90)-day pilot deployment of the GRADIS system** (“Goods/Services”). The deployed production configuration is fixed as follows: **(i)** one (1) **DJI Matrice 4TD** aircraft (1,850 g; up to 54-min flight; IP55; 640×512 radiometric thermal with IR super-resolution; dual 48 MP wide + tele cameras; 1,800 m laser rangefinder; omnidirectional binocular and 3D infrared obstacle sensing; full-color night mode); **(ii)** one (1) **DJI Dock 3** autonomous docking station (automated charging, launch and remote operation); **(iii)** one (1) **ground edge unit built on NVIDIA Jetson Orin (TensorRT)** that performs all anonymization on-device — YOLO-pose extraction of the GRADIS-25 25-joint skeleton and rendering of the rigged 3D mannequin (avatar); **the raw video never leaves this unit**, and only the anonymized mannequin frames are sent to a fast cloud vision-language model (Google Gemini Flash Lite class) for scene judgment; **(iv)** the GRADIS Core command dashboard with conditional 30-second incident-clip escalation; **(v)** video carried over the DJI Cloud API v2 live link (RTMP/RTSP via mediamtx) with an LTE/5G uplink for alerts; and **(vi)** on-site installation, operator training, and weekly analytics reporting over the pilot area agreed by the Parties. Throughout, **each person's pose is extracted and a rigged 3D mannequin (avatar) is overlaid in place of the real individual** — the actual face, body, and clothing are never shown, transmitted, or stored; only the anonymized mannequin layer is analyzed, which preserves detection accuracy while concealing identity. Flight operations maintain a geofence and a minimum 8-metre human stand-off.

IV. Payment: Payment shall be made on a milestone basis: **(a) fifty percent (50%) as a mobilization payment** upon signing of the formal pilot agreement and **prior to deployment** of the GRADIS system; and **(b) the remaining fifty percent (50%) upon completion** of the 90-day pilot and delivery of the final analytics report. This balances the Seller's deployment costs with the Buyer's procurement practice.

V. Deposit: [] Deposit is NOT Required. [X] Deposit is Required — the 50% mobilization payment under Section IV serves as the advance securing the pilot; no separate deposit applies.

VI. Financing: [X] NOT Conditional Upon Financing — this Letter of Intent is not conditional on the Buyer's ability to obtain financing. [] Conditional Upon Financing.

VII. Currency: All mentions of money or the usage of the “\$” icon shall be known as referring to the US Dollar (USD).

VIII. Governing Law & Compliance: This Letter of Intent shall be governed under the laws of the Republic of the Philippines. The Parties intend that all flight operations be conducted in compliance with the Civil Aviation Authority of the Philippines (CAAP) Remotely Piloted Aircraft Systems rules under PCAR Part 11 (including Memorandum Circular No. 026-2025), and with applicable data-privacy law — Republic Act No. 10173 (Data Privacy Act of 2012, enforced by the National Privacy Commission) and Republic Act No. 9995 (Anti-Photo and Video Voyeurism Act of 2009). GRADIS's mannequin-overlay design (no identifiable imagery is retained) is intended to keep no identifiable personal information within the scope of these laws.

Background & Intent of the Buyer.

The Buyer operates in an environment where fixed CCTV coverage leaves significant gaps across streets, alleys, and barangay perimeters, and where the speed of incident detection materially affects public-safety outcomes. The Buyer expresses its good-faith intent to evaluate GRADIS as an active, airborne, privacy-by-design layer that detects incidents in real time without capturing the identity of any individual. This Letter of Intent records that intent and the Parties' willingness to proceed toward a formal pilot agreement.

BUYER (Public-Safety Agency / Operator)

Signature _____

Print Name _____

Title / Office _____

Date _____

SELLER (GRADIS)

Signature _____

Print Name _____

Title _____

Date _____

This Letter of Intent is non-binding except as the Parties may otherwise agree in writing, and is intended solely to record mutual interest in negotiating a formal pilot agreement. It is not a forecast of, or commitment to, any procurement.